

Contoso Company Expense Guidance Document

1. Introduction

Contoso Company is committed to reimbursing employees for necessary and reasonable expenses incurred during business activities. This document provides clear guidelines on allowable expenses, approval processes, and reimbursement procedures based on employee roles and responsibilities.

2. General Expense Policies

- All expenses must be business-related, necessary, and reasonable.
- Employees must submit expense reports within 30 days of the expense date.
- Proper documentation, including receipts and justifications, is required.
- Approval is required from the direct manager or designated authority before incurring expenses beyond standard allowances.
- Employees should use corporate credit cards when applicable.

3. Role-Based Expense Guidelines

3.1 Executive Leadership (CEO, CFO, CTO, VP-Level)

Allowable Expenses:

- Air travel (business class for international, economy or premium for domestic).
- Lodging in four-star or equivalent hotels.
- Business meals and client entertainment (up to \$150 per meal per person).
- Professional development and conference attendance.
- Car rentals (mid-sized or above) or rideshare services for business meetings.
- Office setup expenses for remote work.

Approval Process:

- Expenses above \$5,000 require Board-level approval.
- International travel must be pre-approved by the CFO.
- Expense reports reviewed by finance and direct superiors.

3.2 Senior Management (Directors, Senior Managers)

Allowable Expenses:

- Air travel (economy or premium economy for flights over 4 hours).
- Lodging (three-star or equivalent hotels).
- Business meals (up to \$100 per meal per person).
- Professional development (subject to department budget).

- Rideshare services for local business travel.
- Home office equipment (up to \$1,000 per year with approval).

Approval Process:

- Manager approval required for any single expense over \$2,500.
- International travel must be approved by the CFO.

3.3 Sales and Business Development Teams

Allowable Expenses:

- Client entertainment and meals (up to \$100 per meal per person).
- Domestic travel (economy class airfare, reasonable hotel accommodations).
- Rental cars for customer visits (mid-size preferred).
- Trade show and conference attendance (with pre-approval).
- Business gifts (not exceeding \$50 per recipient per quarter).

Approval Process:

- Direct manager approval required for expenses exceeding \$500.
- Monthly expense reports must be submitted.

3.4 Engineers, IT, and Product Teams

Allowable Expenses:

- Software licenses and subscriptions (pre-approved by IT and finance).
- Professional certifications and training (budget permitting).
- Travel for project work or client engagement (economy class airfare, standard hotels).
- Internet reimbursement (up to \$50 per month for remote employees).
- Work-from-home equipment (up to \$500 per year with approval).

Approval Process:

- IT and finance approval required for any software purchase above \$200.
- Direct manager approval required for travel expenses over \$1,000.

3.5 Administrative and Support Staff

Allowable Expenses:

- Office supplies and minor purchases (up to \$100 per transaction).
- Local transportation for business errands (mileage reimbursement for personal vehicles at IRS rates).
- Meals during overtime work beyond 10 hours (up to \$25 per meal).

- Work-from-home essentials (up to \$250 per year with approval).

Approval Process:

- Manager approval required for purchases exceeding \$500.

4. Non-Reimbursable Expenses

- Personal entertainment (movies, personal subscriptions, etc.).
- Family or companion travel expenses.
- Fines, penalties, or traffic violations.
- Alcoholic beverages (unless part of an approved client meal).
- Luxury accommodations beyond company guidelines.

5. Expense Reimbursement Process

1. Submit expenses via the company's expense management system.
2. Attach all required receipts and justifications.
3. Ensure approval from the designated manager.
4. Expenses will be reimbursed within 10 business days upon approval.

6. Compliance and Audits

- Random audits will be conducted to ensure compliance with the policy.
- Any fraudulent claims may lead to disciplinary actions, including termination.

7. Contact Information

For questions regarding the expense policy, please contact the Finance Department at finance@contoso.com.

By following these guidelines, employees can ensure smooth and efficient processing of business-related expenses while maintaining financial integrity within Contoso Company.